

Paschimanchal Vidyut Vitran Nigam Ltd. v. Appellate Authority/Addl. Commissioner & Anr. (Sunita Spat Pvt. Ltd.)

Allahabad High Court · Single Bench · 26 March 2010 · Civil Misc. Writ Petition No. 4222 of 2009 · **Writ petition of the licensee (Paschimanchal Vidyut Vitran Nigam Ltd.) dismissed as lacking substance; the appellate authority's order in Appeal No. 2 of 2007-08 allowing the consumer's appeal and finding it was not a case of theft is left undisturbed, the licensee's revenue interest being protected by the Special Court's power to determine civil liability for theft under Sections 154(5)-(6) of the Electricity Act, 2003.**

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HEADNOTE

Assessment under Section 126 of the Electricity Act, 2003 is available in cases of theft: the expression 'unauthorised use of electricity' in Explanation (b) to Section 126 is comprehensive enough to take in the theft of electricity defined in Section 135, and the scheme of the 2003 Act - reinforced by the third proviso to Section 135(1A) (restoration of supply on deposit of the assessed amount) - contemplates assessment under Section 126 for all categories of unauthorised use, including theft. An appeal under Section 127(1) lies only against a final order of assessment under Section 126; since no parameters are prescribed for deciding such an appeal, the authority of the appellate forum is co-extensive with that of the assessing authority and it is competent to decide whether the case is one of theft (paragraph 8.1 of the U.P. Electricity Supply Code, 2005) or of unauthorised use (paragraph 6.8). A reasoned finding by the appellate authority that, on the material, it was not a case of theft - the meter not having been sent to the test laboratory, and having regard to the mark in column 8 and other circumstances - is not arbitrary or unreasonable and will not be interfered with in judicial review merely because a second view is possible. A revised provisional assessment made during the pendency of the appeal, on which no final order was ever passed, is not appealable, imposes no duty on the consumer to amend the memo of appeal, and does not render the pending appeal infructuous; and a final assessment order that has attained finality cannot be re-opened by the assessing authority save in cases of fraud or misrepresentation and after affording an opportunity of hearing. Even a finding of 'no theft' by the appellate authority remains subject to the Special Court's determination of civil liability for theft under Sections 154(5)-(6) read with Sections 153 and 155, so the licensee's revenue interest is fully protected; the licensee's writ therefore lacks substance and is dismissed.

FACTUAL SUMMARY

Respondent no.2, Sunita Spat Private Limited - a company at Jansath Road, Muzaffarnagar running an induction furnace for the manufacture of steel ingots with a contracted load of 4000 KVA, supplied from a 33 KVA sub-station - was inspected by officers of Paschimanchal Vidyut Vitran Nigam Ltd. (PVVNL) together with M/S Yadav Measurement Pvt. Ltd. on 02.08.2007. The CT/PT chamber seals were found tampered and the metering circuit slow by 53.14%; the check report treated this as theft of electricity under Section 135, an FIR was lodged and a charge-sheet was later filed before the Special Judge (09.09.2007). A provisional assessment (Rs.97,53,840, revised to Rs.87,27,120) and, after objections, a final assessment order dated 07.08.2007 were passed. The consumer's writ petition (No. 37706 of 2007) was dismissed on the ground of the alternative remedy of appeal under Section 127, and the consumer deposited 50% of the assessed amount and filed the appeal (Appeal No. 2 of 2007-08). During the pendency of the appeal the Corporation issued a fresh, revised provisional assessment dated 10.01.2008 for Rs.23,25,35,580.95, on which no final order was ever passed. The appellate authority allowed the consumer's appeal, holding that although the meter was tampered it was not a case of theft. PVVNL filed the present writ petition challenging that appellate order.

REUSABLE CONSTRUCTIONS

1. Assessment under Section 126 of the Electricity Act, 2003 is available in cases of theft: 'unauthorised use of electricity' in Explanation (b) to Section 126 is comprehensive enough to cover the theft of electricity defined in Section 135, and the 2003 Act's scheme (fortified by the third proviso to Section 135(1A)) contemplates assessment under Section 126 for all categories of unauthorised use, including theft. **p. 7**
2. Because Section 127 prescribes no parameters for deciding an appeal against a Section 126 final order, the appellate authority's power is co-extensive with that of the assessing authority and it is competent to decide whether the case

is one of theft or of unauthorised use; a reasoned appellate finding (e.g. 'not a case of theft') is not interfered with in writ merely because a second view is possible. p. 8

3. An appeal under Section 127 lies only against a final order under Section 126; a provisional assessment - including a revised provisional assessment issued during the pendency of the appeal, on which no final order is passed - is not appealable, imposes no obligation on the consumer to amend the memo of appeal, and does not render the pending appeal infructuous. p. 8
4. A final order of assessment under Section 126 that has attained finality cannot be re-opened by the assessing authority, save under the inherent authority in cases of fraud or misrepresentation and after affording an opportunity of hearing. p. 9
5. A finding by the appellate authority that there was no theft remains subject to the Special Court's determination of civil liability for theft under Sections 154(5)-(6) read with Sections 153 and 155; because the licensee's revenue interest is thereby protected, such a finding is no ground to interfere in writ. p. 10

HOLDING-UNITS

HOLDING-UNIT · EA2003::126

RATIO

Assessment under Section 126 is available for theft; 'unauthorised use of electricity' in Explanation (b) is comprehensive enough to cover theft under Section 135

QUESTION

Does the assessment scheme of Section 126 apply to a case of theft of electricity, or is theft under Section 135 (Offences and Penalties) excluded from Section 126 assessment?

HOLDING

Section 126 assessment applies to theft. The definition of 'unauthorised use of electricity' in Explanation (b) to Section 126 is wide and comprehensive enough to cover usage by artificial means, by unauthorised means and through a tampered meter, and therefore to cover the theft of electricity more elaborately defined in Section 135; theft is itself an unauthorised use for which assessment under Section 126 is contemplated. Section 135 falls under the 'Offences and Penalties' chapter, which deals with a different subject (prosecution and penalty) from assessment, and the scheme of the 2003 Act does not exclude assessment under Section 126 in theft cases. This is fortified by the third proviso to Section 135(1A), which requires restoration of supply on deposit or payment of the assessed amount - showing that assessment of charges for theft is itself contemplated. The Legislature thus contemplated assessment under Section 126 for all categories of unauthorised use, including theft. p. 4-7

EVIDENCE *"The definition of unauthorised use of electricity as given in Explanation (b) is wide enough which covers the usage of electricity by any artificial means or by a means not authorised by the concerned person or authority or licensee or through a tampered meter."* p. 7

EVIDENCE *"The scheme of the 2003 Act does not exclude the assessment under Section 126 in theft cases."* p. 7

FLAG Source judgment is not paragraph-numbered; pins reference the printed page numbers of the reserved judgment (pp.1-10). Sections 126, 127(1) and 135(1)/(1A) are reproduced at pp.4-7.

HOLDING-UNIT · EA2003::127

RATIO

The appellate authority's power under Section 127 is co-extensive with the assessing authority's; it is competent to decide whether the case is one of theft, and a reasonable finding is not disturbed in writ

QUESTION

In an appeal under Section 127 against a Section 126 assessment, is the appellate authority competent to decide whether the case is one of theft, and to what extent can the High Court interfere with its finding on that question?

HOLDING

Yes, the appellate authority is competent. Section 127(1) provides an appeal against the final order made under Section 126 but prescribes no parameters for deciding it; the authority of the appellate forum is therefore co-extensive with that of the assessing authority. The appellate authority is free to decide whether the assessment was correctly made and whether the case is one of unauthorised use covering theft - the inevitable conclusion being that it is competent to go into the question of theft (assessable on the parameter in paragraph 8.1 of the U.P. Electricity Supply Code, 2005) as against mere unauthorised use (paragraph 6.8) for judging the validity of the Section 126 assessment. Here the appellate

authority examined the matter, found the meter tampered but, keeping in mind the mark in column 8, the meter not having been sent to the test laboratory and other circumstances, held it was not a case of theft; that view is not arbitrary or unreasonable, and the Court declined to interfere in judicial review merely because a second view was possible. p. 8

EVIDENCE *“in such a situation authority of Appellate forum is co-extensive to the authority of assessing authority and appellate authority is free to decide, as to whether assessment has been correctly made or not” p. 8*

EVIDENCE *“The inevitable conclusion that appellate authority is competent to go into the question of theft also for judging the validity of assessment made under Section 126.” p. 8*

HOLDING-UNIT · EA2003::127

RATIO

An appeal under Section 127 lies only against a final order; a revised provisional assessment during the appeal, on which no final order was passed, is not appealable and does not render the appeal infructuous

QUESTION

Did the revised provisional assessment dated 10.01.2008 issued during the pendency of the appeal render the appeal infructuous and oblige the consumer to amend the memo of appeal?

HOLDING

No. Even though the revised provisional assessment was made during the pendency of the appeal and the consumer filed no reply, a final order ought still to have been passed in black and white; in the absence of any final order the consumer was under no obligation to amend the memo of appeal, because an appeal under Section 127 is maintainable only against final orders and not against a provisional order. The pending appeal against the earlier final assessment therefore did not become infructuous, and the licensee's contention that the appellate authority should have declined to decide it on merits fails. p. 8

EVIDENCE *“In absence of there being any final order, the respondent company was not obliged to make amendment as has been prayed for, as appeal under Section 127 is maintainable only against final orders and not against provisional order.” p. 8*

HOLDING-UNIT · EA2003::126(3)

RATIO

A final assessment order that has attained finality cannot be re-opened by the assessing authority except, under inherent authority, in cases of fraud or misrepresentation and after hearing

QUESTION

Once a final order of assessment under Section 126(3) has attained finality, can the assessing authority re-open the assessment (as the Corporation purported to do by its revised assessment)?

HOLDING

No. Assessment under Section 126 has two stages - a provisional assessment (Section 126(2)) and a final assessment to be made within thirty days of service of the provisional order (Section 126(3)), the mode of the order being declared by Section 126(5). Once a final order of assessment of the charges payable has been passed and has attained finality, there is no provision empowering the assessing authority to re-open it. This principle is subject only to the inherent authority to revive the assessment where fraud or misrepresentation is detected, and then only after affording an opportunity of hearing. p. 9

EVIDENCE *“after final order of assessment has been passed, qua the electricity charges payable by such person, then there is no provision which empowers the assessing authority to re-open the said assessment, which has attained finality.” p. 9*

EVIDENCE *“This principle is always subject to the inherent authority that is the authority possessed, in cases of fraud or misrepresentation being detected, same can be revived but after affording opportunity of hearing.” p. 9*

HOLDING-UNIT · EA2003::154

OBITER

Even a 'no theft' finding by the appellate authority is subject to the Special Court's determination of civil liability for theft under Sections 154(5)-(6); the licensee's revenue interest is thereby protected

QUESTION

Is the licensee prejudiced by the appellate authority's finding of 'no theft', given the pending prosecution and the Special Court's jurisdiction?

HOLDING

No. The proceedings arising from the FIR and charge-sheet are subject to the orders of the Special Court constituted under Section 153, whose powers include the determination, under Section 154(5)-(6), of the consumer's civil liability for theft of energy (not less than twice the tariff for the twelve months preceding detection or the exact period of theft, whichever is less, recoverable as a civil-court decree, with refund of any excess deposit with interest); by Section 155 the Special Court has the powers of a court of session. Consequently, even a finding by the appellate authority that it was not a case of theft is always subject to the order of the Special Court, so that any difference of amount can be realised if theft is proved. The licensee's revenue interest is thereby fully protected, and the writ - which sought only to protect that interest - lacks substance and is dismissed. **p. 9-10**

EVIDENCE *“even if the appellate authority has recorded finding that it was not a case of theft, said order is always subject to the order passed by the special court and the terms and conditions are very clearly provided that difference of the amount can be realized in case of theft of electricity is proved.”* **p. 10**

EVIDENCE *“Once charge sheet has been filed and the matter is yet to be adjudicated, and in case there is any theft in revenue, then it can always be taken care of by the special court under Sections 154 (5) and (6) of the electricity Act, 2003.”* **p. 10**

PRINCIPLE TAGS

s126-assessment-available-for-theft-unauthorised-use-covers-theft 'Unauthorised use of electricity' in Explanation (b) to Section 126 is comprehensive enough to cover theft under Section 135; the scheme of the 2003 Act (with the third proviso to Section 135(1A)) contemplates assessment under Section 126 for all categories of unauthorised use, including theft. **p. 7**

s127-appellate-power-co-extensive-competent-to-decide-theft As Section 127 prescribes no parameters for deciding the appeal, the appellate authority's power is co-extensive with the assessing authority's and it is competent to decide whether the case is one of theft (para 8.1, Supply Code 2005) or unauthorised use (para 6.8); a reasoned finding is not disturbed in writ merely because a second view is possible. **p. 8**

s127-appeal-lies-only-against-final-order-not-provisional-assessment An appeal under Section 127 is maintainable only against a final order under Section 126; a provisional assessment (even a revised one issued during the appeal, on which no final order is passed) is not appealable, requires no amendment of the memo of appeal, and does not render the pending appeal infructuous. **p. 8**

s126-final-assessment-attaining-finality-cannot-be-reopened-except-fraud A final order of assessment under Section 126 that has attained finality cannot be re-opened by the assessing authority, save under inherent authority in cases of fraud or misrepresentation and after affording an opportunity of hearing. **p. 9**

no-theft-finding-subject-to-special-court-civil-liability-s154 Even a finding of 'no theft' by the appellate authority remains subject to the Special Court's determination of civil liability for theft under Sections 154(5)-(6) read with Sections 153 and 155; the licensee's revenue interest being thereby protected, the finding is no ground to interfere in writ. **p. 10**

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE CONSUMER IN FACT COMMITTED THEFT OF ELECTRICITY UNDER SECTION 135 OF THE ELECTRICITY ACT, 2003

Left to the Special Court in the pending prosecution (FIR and charge-sheet); the High Court declined to disturb the appellate authority's finding of 'no theft' on judicial review, that finding being in any event subject to the Special Court's determination of civil liability under Sections 154(5)-(6). **p. 10**

NOT DECIDED — THE VALIDITY AND QUANTUM OF THE REVISED PROVISIONAL ASSESSMENT DATED 10.01.2008 (RS.23,25,35,580.95)

No final order was passed on this revised provisional assessment, so it was not appealable under Section 127 and the Court did not adjudicate its correctness; its issuance did not render the pending appeal infructuous. **p. 8-9**

RELATED CASES — SEE ALSO

SCJ-041 — Executive Engineer, Southern Electricity Supply Co. of Orissa - assessment scheme under Sections 126/127 of the Electricity Act, 2003.

SCJ-047 — Lalit Kumar Kapoor v. Kanpur Electricity Supply Company - Section 126 assessment and Section 127 appeal.

SCJ-153 — Mohd. Sagir v. DVVNL - Section 126(3) final assessment read with the Section 127 appeal.

SCJ-042 — WBSEDCL - Sections 126/135/154; assessment and civil liability for theft of electricity.

SCJ-069 — M/S Trikoot Iron & Steels Castings Ltd. v. State of U.P. - Section 127 appeal in a Section 135 theft assessment.

SCJ-207 — Executive Engineer, Distribution Division v. Pacific - Section 153 Special Court jurisdiction.

SCJ-347 — Purvanchal Vidyut Vitran Nigam Ltd. v. State of U.P. - Section 154 Special Court determination of civil liability.

SCJ-1059 · Paschimanchal Vidyut Vitran Nigam Ltd. v. Appellate Authority/Addl. Commissioner & Anr. (Sunita Spat Pvt. Ltd.) · · Supply Code
Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.